

will adjust their price upwards to reflect the new information requiring the buyer to pay, say, an additional \$0.10/share higher or \$50.10 total. This is an example of the information content cost and permanent market impact.

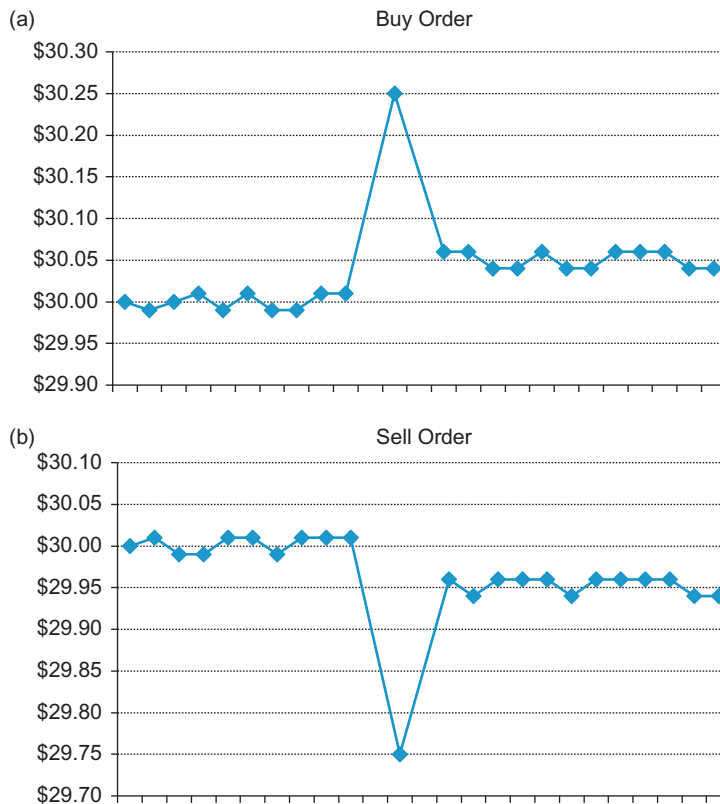
GRAPHICAL ILLUSTRATIONS OF MARKET IMPACT

This section provides graphical illustrations of market impact from different perspectives.

Illustration 1—Price Trajectory

Madhavan (2000, 2002) presents a lucid graphical description of a sell order's temporary and permanent market impact cost. We use the same technique to graphically illustrate these concepts placing a buy order and sell order.

Figure 4.1a illustrates market impact for a buy order. Following a \$30.00 opening trade, the stock fluctuates between \$29.99 and \$30.01, the result



■ Figure 4.1 Price Evolution. *Madhavan Formulation (2000, 2002).*